

OPERATIONS STANDARD OPERATING PROCEDURE

Rewritten and aligned to the supplied Sales, Vendor and Inventory workbooks

1. Purpose

This SOP defines the operating workflow for sales visibility, inventory receiving and reconciliation, vendor coordination, escalation, and emergency restocking. It preserves the source document's focus on receiving, inspection, reconciliation, escalation, and purchasing procedures while making the workflow explicit for the supplied operational data.

2. Operating Data Snapshot

The supplied sales file contains 5,000 sales records covering 01 Jan 2025 to 31 Dec 2026, with total recorded revenue of \$5,473,536.66. The inventory file contains 2,000 inventory records with recorded inventory cost of \$10,019,237.31. These datasets should be treated as the operational evidence used for reconciliation and reporting.

Category	Orders	Quantity	Revenue
Components	965	15,893	\$331,177.10
Electronics	1,058	17,525	\$2,027,437.45
Finished Goods	781	13,017	\$2,735,530.91
Packaging	1,235	20,318	\$82,054.10
Raw Materials	961	16,070	\$297,337.10

3. Daily Sales and Operations Review

1. Review new sales records by order ID, date, product, quantity, unit price, revenue, category and region.
2. Validate that recorded revenue is consistent with quantity × unit price before using the record for management reporting.
3. Review regional sales activity and flag unusual changes or incomplete records for investigation.
4. Use product/category demand information to inform inventory review and purchasing decisions; do not bypass the inventory policy approval controls.

4. Receiving and Inspection Procedure

1. Match the incoming delivery to the relevant purchasing/vendor documentation.
2. Confirm product ID, product name, category, quantity, unit cost and vendor ID.
3. Inspect received goods for quantity discrepancies, visible damage, quality issues and identification errors.
4. Record the receipt in the inventory register using the appropriate inventory ID, date and warehouse.
5. Hold discrepant or damaged goods from normal stock until the issue is resolved and documented.

5. Inventory Reconciliation

1. Compare physical quantities with the inventory register by product and warehouse.
2. Reconcile differences using receiving records, transfers, sales activity and approved adjustments.
3. Document the cause of each material variance and the corrective action taken.
4. Perform the monthly cycle-count requirement specified in the Inventory Policy.

6. Current Warehouse Position

Warehouse	Recorded Quantity	Recorded Cost
WH-A	64,590	\$2,483,507.53
WH-B	63,078	\$2,712,278.11
WH-C	63,435	\$2,548,013.07
WH-D	61,198	\$2,275,438.60

7. Escalation and Emergency Restocking

Escalate inventory shortages, receiving discrepancies, repeated vendor issues, or unexplained stock variances to the responsible operations/procurement owner.

For emergency restocks, document the shortage, affected product, required quantity, business impact, selected vendor and approval before placing the purchase order.

Emergency purchasing does not remove the approval and purchasing controls in the Vendor Policy and Inventory Policy.

8. Records and Accountability

Maintain auditable records for sales, receipts, inspections, reconciliations, stock adjustments, vendor interactions, approvals and emergency purchases. Any correction must retain the original record and a documented reason for the change.